Metals & Mining

Safeguard duty – a shot in the arm

The Indian government has finally accepted DGTR's request for a three-year safeguard on the majority of flat steel products. The duty is staggered over three years – at 12% for the first year, 11.5% for the second and 11% for the third. The move is a shot in the arm for India's steel industry, which was suffering for lower steel prices due to excess hot rolled (HR) capacity and continuation of imports. Steel prices (trade) have already ascended 6% since making its bottom in early Dec'25; and we reckon there is room for prices to improve by another 4–5% in the next month. Most steel mills will likely see a sharp improvement in EBITDA/te Q4FY26 onwards. We prefer Tata Steel and JSPL in our coverage space. APL Apollo will likely be a ripple-effect beneficiary of the safeguard (restocking and inventory gains).

Higher-for-longer domestic steel prices on safeguard premium

With the safeguard enacted, we believe domestic prices may now trade at a premium of minimum 10% to international prices (at spot levels, it works out to USD 60–65/te) for the next two and a half years; thus, enabling domestic steel mills' margins to surpass their average levels. HRC trade prices have already surged INR 3,000–3,500/te in the last week. Consequently, EBITDA/te for spot steel has also seen a spike of INR 2,500–3,000/te (adjusting for coking coal increase) – a tad higher than its Q2 levels. Considering further scope for price hikes, we expect a sharp uptick in EBITDA/t in Q4FY26E, post a tepid Q3FY26.

70% of flat imports covered

The products covered under the safeguard duty constituted ~70% of the total flat imports, while South Korea, China, Japan and Vietnam accounted for 88% of the imports in 2024. However, we believe, long products would also benefit from the safeguard duty, as the prices along the entire value chain will likely see an uptick; therefore, this in not only a positive for the flats players, but also the steel sector in its entirety.

Upgrade FY27E and FY28E EBITDA by 3–10%

We were already anticipating the safeguard duty; accordingly, we have kept our average base HRC realisations higher at INR 51,000/te vs. estimated average for FY26 being INR 49,500/te. However, baking in INR depreciation, our FY27E and FY28E EBITDA is now up 3–10% across steel players.

What we like?

Overall, from a portfolio perspective, JSW Steel, followed by Tata Steel, are potentially the strongest beneficiaries given their relatively higher flat product mix. The duty also comes at an apt time for Jindal Steel, as they have just commissioned a BoF and entered flats products quite extensively. SAIL has 55% flats and rest long; thus, sits lowest in the list of beneficiaries (but it has major delta on margins due to a lower base).

We prefer Tata Steel and Jindal Steel over JSW due to valuations. APL Apollo NMDC, Shyam Metallics and Lloyd Metals will also likely benefit as a secondary effect from the safeguard.

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Tata Steel (BUY)

Jindal Steel (BUY)

JSW Steel (HOLD)

SAIL (HOLD)

What is included in the safeguard

- HR coils, sheets and plates (no duty if import price quals to or above USD 675/te)
- HR plate mill plates (no duty if import price equals to or is above USD 695/te)
- Cold Rolled (CR) coils and sheets (no duty if import price equals to or is above USD 695/te)
- Metallic coated steel coils and sheets, whether or not profiled, including galvanneal, coated with zinc or aluminium-zinc or zinc-aluminium-magnesium (no duty if import price equals to or is above USD 861/te)
- Colour coated coils and sheets (no duty if imports price equals to or is above USD 964/te)

Items that are excluded

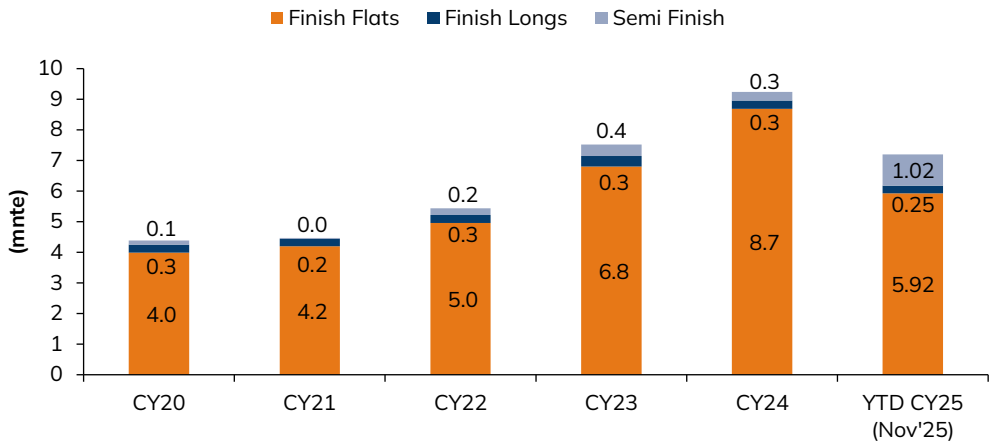
- Electrical steel
- Tinplate
- Stainless steel
- Aluminium-coated steel

Exhibit 1: Post safeguard – landed vs. domestic parity

	China	Korea/Japan
Import Parity (USD)		
HRC – CNF	495	505
Custom Duty @ 7.5%	37	-
Safeguard @12% (inc. Cess)	65	67
Total	597	572
Port and Misc charges	20	20
Total Landed Price	617	592
(INR)		
INR/USD	**89.8**	**89.8**
Landed price	**55,448**	**53,131**
HRC (ex-Mumbai)	49,800	49,800
Domestic Premium/ (Discount)	**(5,648)**	**(3,331)**

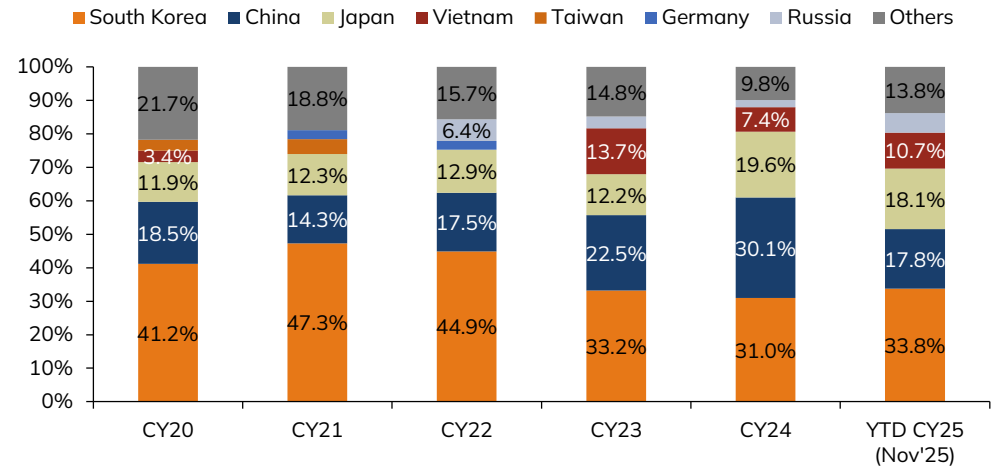
Source: I-Sec research

Exhibit 2: Steel Imports



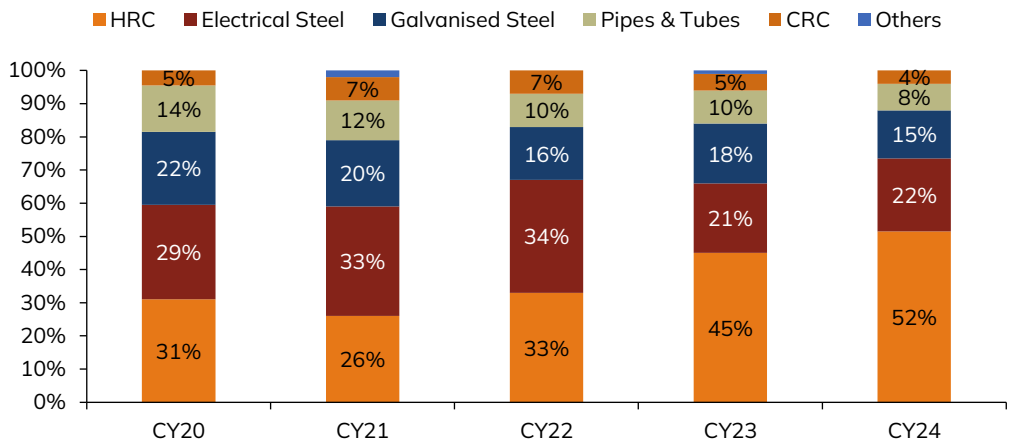
Source: I-Sec research, BigMint

Exhibit 3: Country wise share in Steel Imports



Source: I-Sec research, BigMint

Exhibit 4: Product wise Steel Imports



Source: I-Sec research, BigMint

Exhibit 5: TP & Ratings Revision

Company	I-Sec Target Price			I-Sec Ratings	
	New	Old	Chg. (%)	New	Old
SAIL	140	120	*16.7*	HOLD	REDUCE
Tata Steel	210	188	*11.7*	BUY	ADD
JSW Steel	1170	1,110	*5.4*	HOLD	HOLD
Jindal Steel	1205	1,200	*0.4*	BUY	ADD

Source: I-Sec research

Exhibit 6: SAIL Earnings Revision

(INR mn)	FY27E			FY28E		
	New	Old	Chg. (%)	New	Old	Chg. (%)
Revenue	1,184,072	1,143,991	*3.5*	1,249,384	1,207,138	*3.5*
EBITDA	113,483	106,641	*6.4*	149,141	135,622	*10.0*
PAT	31,105	25,973	*19.8*	56,721	46,582	*21.8*
EPS (INR)	7.5	6.3	*19.8*	13.7	11.3	*21.8*

Source: I-Sec research

Exhibit 7: Tata Steel Earnings Revision

(INR mn)	FY27E			FY28E		
	New	Old	Chg. (%)	New	Old	Chg. (%)
Revenue	2,489,773	2,477,553	*0.5*	2,601,304	2,576,364	*1.0*
EBITDA	393,947	383,914	*2.6*	447,717	427,241	*4.8*
PAT	147,339	140,617	*4.8*	181,577	167,858	*8.2*
EPS (INR)	11.8	11.3	*4.8*	14.6	13.5	*8.2*

Source: I-Sec research

Exhibit 8: JSW Steel Earnings Revision

(INR mn)	FY27E			FY28E		
	New	Old	Chg. (%)	New	Old	Chg. (%)
Revenue	2,152,869	2,138,423	*0.7*	2,397,339	2,381,501	*0.7*
EBITDA	358,885	342,353	*4.8*	428,548	418,394	*2.4*
PAT	129,676	117,773	*10.1*	172,489	165,179	*4.4*
EPS (INR)	53.1	48.3	*10.1*	70.7	67.7	*4.4*

Source: I-Sec research

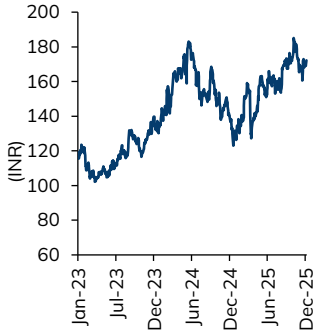
Exhibit 9: Jindal Steel Earnings Revision

(INR mn)	FY27E			FY28E		
	New	Old	Chg. (%)	New	Old	Chg. (%)
Revenue	627,003	643,360	*(2.5)*	760,793	775,628	*(1.9)*
EBITDA	142,172	141,330	*0.6*	192,646	186,733	*3.2*
PAT	73,848	73,224	*0.9*	109,699	105,323	*4.2*
EPS (INR)	73.7	73.0	*0.9*	109.4	105.1	*4.2*

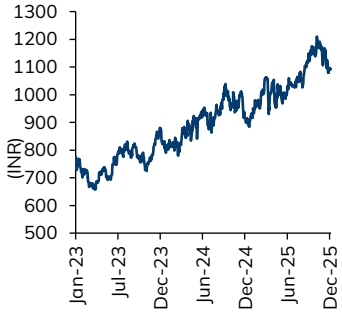
Source: I-Sec research

Price charts

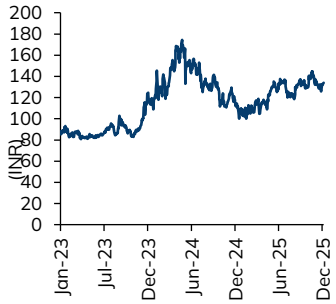
Tata Steel



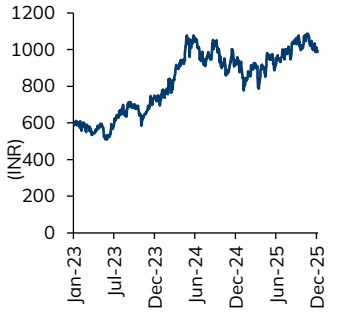
JSW Steel



SAIL



Jindal Steel



Source: Bloomberg

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